BROADRIDGE FINANCIAL SOLUTNS BR

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by Kisai

			2026	2027
Price:	163.13	EPS	10.15	11.25
Shares Out. (in M):	114	P/E	16.1	14.5
Market Cap (in $M):	18,600	P/FCF	14.9	13.3
Net Debt (in $M):	2,852	EBIT	1,600	1,700
TEV (in $M):	21,459	TEV/EBIT	13.4	12.6

Description

Thesis:

Broadridge has underperformed this year in sympathy with the broader transaction processing space, as well as due to specific fears about tokenization adversely affecting the company's proxy business. This creates the opportunity to buy a steadily growing, mission-critical processing platform for a low double-digit multiple of free cash flow.

What the company does:

My focus here will be on the proxy business, since that is where I think most of the overhang on the stock is. This is reported as Regulatory revenue within Broadridge's Investor Communications Solutions (ICS) segment.

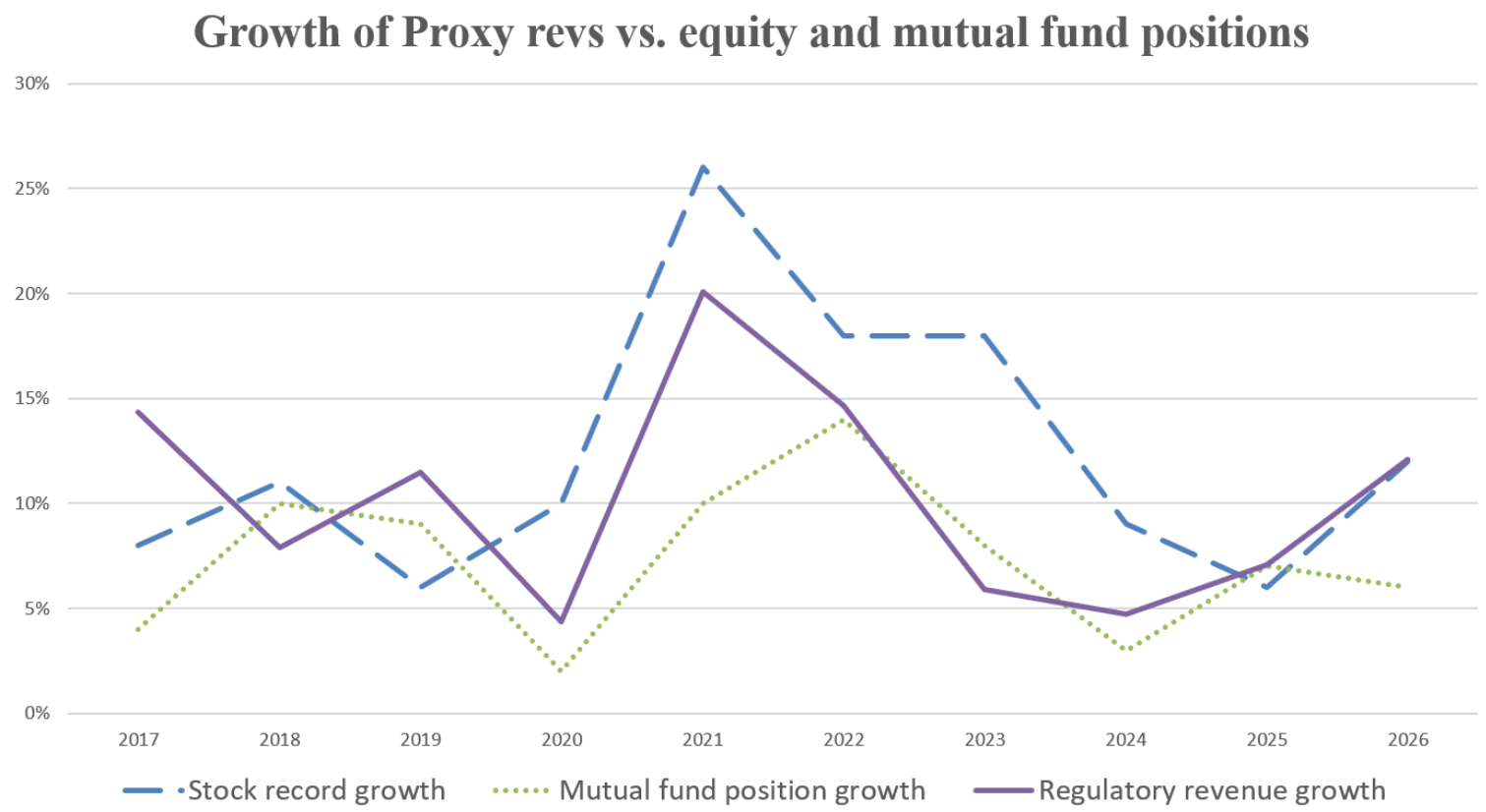
Proxy (Regulatory)

Broadridge's proxy business handles the dissemination of proxies and the capture, tabulation, reconciliation and reporting of shareholder votes for equities and mutual funds. Virtually all shares today are held in street name, meaning investors don't own paper certificates of their shares, but rather a database entry at their broker records their ownership. All those entries at each broker are aggregated and accounted for at a central securities depository, which in the U.S. is the nonprofit industry utility, Depository Trust Clearing Corporation (DTC). DTC coordinates which shares are held at which broker. Each broker then accounts for where the shares are held at the individual account level.

For a corporate issuer or mutual fund to disseminate proxies and handle the rest of the voting process, it'd have to coordinate between all broker dealers that hold the issuer's shares in street name, as well as its transfer agent, which keeps a tally of the shares in registered form. Each issuer handling all this individually is burdensome, duplicative and extraneous to their main business.

Furthermore, the proxy process is highly regulated by the SEC. For shares in street name, the SEC has tasked brokers with making sure proxies and other shareholder communications are disseminated effectively to the end user. Harkening back to the days of paper proxies and annual reports, this process included ensuring the mailings went out, and the votes were tabulated as they came back in. As paper proxies have given way to electronic ones, Broadridge has transitioned to managing this process digitally. What is effectively e-delivery is bundled with other services including providing a white labeled voting portal at the broker (ProxyEdge), soliciting votes, enabling pass-through voting for ETF managers, hosting virtual shareholder meetings for issuers, and reconciling all the votes. This task is non-differentiating for a broker but critical for both the issuer and broker not to screw up. Brokers, in turn, have outsourced this task to Broadridge.

The proxy business grows with "stock record" growth, that is the number of stocks outstanding times the number of stockholders, which has grown by a high single-digit amount over the past decade. Given that most proxies are handled electronically, the incremental margins on this business are software-like. Broadridge's customer base is extremely sticky, and the company has over 98% annual retention.



Other ICS businesses:

Broadridge provides relatively granular disclosure of the remaining business lines within ICS:

- Data-Driven Fund Solutions includes its acquisition of Matrix, as well as other marketing & analytics services for fund issuers.
- Issuer Solutions is mostly the company's in-house transfer agent as well as various tools to help issuers with submitting SEC filings (composition, XBRL tagging, etc.), as well as its business of hosting virtual shareholder meetings (this offering is often bundled with proxy services).
- Customer Communications is a business acquired from R.R. Donnely that processes billing statements for cable and utility customers, much of which is distributed via physical mailings. Management thought they could repurpose the mail sorting algorithms used by this business in the distribution of marketing and other communications for investment managers, but the business has not shown much growth since acquisition.
- Event-Driven: this line is for proxies that are not sent out annually, but rather sent out for ad hoc events like mergers, mutual fund special meetings, etc. This revenue line is the most volatile of Broadridge's since these events are unpredictable and episodic, but over time this line has compounded at a mid/high single-digit rate.

The proxy business represents about half of ICS' recurring fee revenues. With the exception of Customer Communications and excluding Distribution revenue (which is mostly just the pass-through of postage for all the pieces of mail sent out across these various communications offerings), these businesses all grow low to mid-single digits and have high incremental margins. In aggregate, ICS represents 60% of what management calls Recurring Fee Revenue (i.e. excluding Distribution and Event-Driven Revenue) and closer to two-thirds of pre-corporate adjusted EBITDA.

GTO

The company's other reporting segment, Global Technology & Operations (GTO), consists of handling the middle and back-office operations for banks, broker-dealers and wealth managers. They also offer some front-office products for wealth managers. This is a hodgepodge of businesses that started in the 1960s with ADP's back-office processing services to broker-dealers (Broadridge was spun out of ADP about 20 years ago) and has been bolstered with a slew of acquisitions over the years. The Capital Markets business line offers systems that capture orders, and confirm, clear, settle and reconcile trades for banks and broker-dealers. The Wealth & Investment Management subsegment performs similar trade processing and ledger operations for wealth management firms. They also offer portfolio risk & analytics products, as well as various communications and marketing products for wealth managers. The Capital Markets business line grows by low single-digits organically. Wealth & Investment Management is a newer business and has been able to show mid single-digit organic growth.

Current set-up:

Broadridge shares reached a peak of around $270/share last year, which would have represented a roughly 25x 12-month forward FCF multiple at the time. Formerly valued like a compounder, Broadridge sold off hard late last year and into this year. What started as sympathy with the broader SaaS-pocalypse, congealed into a more cogent concern about the risk of tokenization to Broadridge's platform.

Out of the amorphous and vague "tokenization risk", three main forms of tokenized equities appear to be emerging on the horizon:

1. Tokenized shares issued directly by the issuer (i.e. "natively tokenized")
2. Tokenized shares issued by an intermediary (i.e. "synthetically tokenized". This has been used, for example, to grant non-U.S. investors access to U.S. stocks and is most germane to the SEC's recent exemption order to brokers looking to offer such services in the U.S.)
3. Tokenized shares held at a central securities depository like DTC.

Broadridge can survive whichever state of the world emerges, assuming tokenization does in fact displace the current way of doing things, which isn't a fait accompli. Working backwards, case 3 is basically the same state of the world that we live in today, but instead of a COBOL or Oracle database (or whatever DTC's infrastructure runs on), the data is held on a public blockchain. This ledger would still only know who owns what at the broker level, and the brokers would still be on the hook for disseminating proxies and managing the voting process. This state of the world shouldn't adversely affect Broadridge.

In case 2, each provider of synthetic tokens would maintain a ledger of its token customers/investors. Those discrete lists would somehow need to be aggregated and reconciled for any shareholder vote or if an issuer ever wanted to know who its shareholders are. It's worth noting that the shareholder rights framework for this sort of synthetic ownership is still evolving. Broadridge has agreed to work with Ondo, a provider of these synthetic stock wrappers to non-U.S. investors as the shareholder rights regime for this format evolves.

On that front, on September 17th, the SEC ruled to allow intermediaries (mostly brokerages) the ability to offer stocks in tokenized form to U.S. investors (https://www.sec.gov/newsroom/press-releases/2026-90-sec-issues-innovation-exemption-facilitate-trading-tokenized-nms-stock-request-comment). Brokerages can operate what are effectively synthetic side bets on a given stock in tokenized form (and thus are "exempt" from being dubbed exchanges by the SEC). These tokens need to be backed by reserves as well as a mechanism to ensure the token values don't deviate significantly from the underlying stock ("automated market maker" mechanism). Most importantly for Broadridge, the SEC stated that the tokens need to come with the same voting rights as the underlying equity. Thus, for a given issuer, this order creates potentially one more voting contingent, whose proxies need to get sent out, captured and tabulated.

If anything, this should create *more* work for Broadridge and potential to justify its fees. One might argue that brokers will handle the proxies for these tokens in-house and outsource the rest of the process to Broadridge. But the existing market structure outside of tokenization isn't going away anytime soon, so a broker will still be on the hook to make sure proxies go out as they currently do for those non-tokenized clients (or for clients that hold shares in both street name and tokenized form). Given that this task is not a differentiating function for any broker, I think it's more likely that they just continue to outsource the whole proxy operation to Broadridge.

In case 1, a company like Apple might just issue shares directly in tokenized form but then would be tasked with managing the roster of its shareholders daily as shares turnover. They'd likely designate this task to a transfer agent, and then we're back into a state of the world not dissimilar to the 1960s before the concept of beneficial ownership & DTC came along. Of course, it might be easier to implement this state of the world than it was before digital record keeping became a thing. Of note, crypto-focused brokerage Bullish bought transfer agent Equiniti recently, which suggests someone in the crypto space is betting on this state of the world.

So, what happens to Broadridge if its proxy business morphs into something more like a transfer agent? Through a quirk of history, the price per proxy disseminated is regulated by the NYSE, with oversight from the SEC. I estimate the current fee is about $1 per piece for equity proxies, mostly unchanged from a decade ago. Broadridge stopped reporting unit metrics in 2016 but you can estimate the number of proxies handled by taking the last disclosed number and growing it by reported stock record growth. From there, I've assumed a 70/30 split between equity and mutual fund proxy revenues, consistent with what it was back when unit metrics were last disclosed. This dovetails with management's comments as well. Every time these prices come up for review, some issuers raise a stink and try to get prices down, arguing Broadridge benefits from inflated regulated prices that would be lower in the open market. Broadridge responds that they would *love* to earn the unregulated price, as indicated by what transfer agents charge for the same service for registered shareholders (~$3-5/proxy). Broadridge supports this by saying they could earn more by unbundling things like pass-through voting, the ProxyEdge voting platform, vote solicitation services, and other things that they throw into their bundled offering currently.

So let's say Broadridge becomes just another one of five transfer agents (Computershare is the biggest, followed by BNY Mellon, Equiniti, and Continental Stock Transfer & Trust, in addition to Broadridge, which also competes in the registered shares market). We're in the realm of speculation, but if Broadridge's market share falls to 20% (from ~90% currently) in this transfer agent-only world, and applying the estimated "unregulated price" of $5 per proxy, it's possible that their revenues just aren't adversely affected. To be sure, this is a theoretical napkin math exercise, and no one is talking about the street name convention for stock ownership going away anytime soon. Moreover, in the messy real world of today, a contingent of shareholders might not want to own shares directly for reasons of privacy.

Stepping back, tokenization is likely to be yet another change to the capital markets and proxy process that causes uncertainty for Broadridge in the short-term, but opportunity and further entrenchment in the long-term. We saw the same thing with Notice & Access for equities in 2007 and with Notice & Access for mutual funds in 2018, as well as during the various SEC working groups to evaluate the proxy process and fee structure over the years. Each time Broadridge's proxy business emerged not only unscathed but with modest tailwinds. I think whatever happens with regards to tokenization is likely to be no

different.

Valuation:

I can see the company doing $1.7Bn in free cash flow (fully docked for SBC) in FY'29. On a $19Bn market cap, that represents a HSD yield, which should grow 8-12% per year. Investors get paid a nearly 3% dividend yield to wait for the tokenization overhang to pass.

If the stock reverts to its historical 23x adjusted EPS/FCF multiple, along with a modest share repurchase, it's not hard to see a $400 stock (i.e. looking out to FY'30, we might get $1.9Bn FCF with a little growth, and 100MM shares outstanding with some modest repurchases).

I use adjusted EPS and free cash flow somewhat interchangeably to simplify the analysis of Broadridge's historical multiple, but the former is a more conservative measure as it does not add back the amortization of other assets capitalized on Broadridge's balance sheet (adjusted EPS only adds back acquired intangibles' amortization). This asset is mostly the capitalization of software and implementation costs related to new business wins. These costs can be in the hundreds of millions and related to an implementation process that has been described by customers as a "root canal", which makes sense when you're talking about replacing mission-critical systems. The difference results in a $3+ increase in free cash flow per share relative to adjusted EPS. The company faced scrutiny from short sellers over the years due to these large costs being capitalized but over time these swings on the cash flow statement have only been a modest drain on cash from operations, which one would expect if the business is growing and adding new customer wins. I view this as growth capital, and thus, that it is prudent to be added back to adjusted EPS.

There aren't a lot of direct comps for Broadridge, so picking the right multiple is a more philosophical exercise than it usually is. SunGard competes in GTO but is a pimple on the FIS elephant. Say Technologies was a subscale player in the proxy business and was bought out by Robinhood about five years ago, mostly as a cost and user experience play. Mediant Communications (a low single-digit share competitor in U.S. proxy) and Proxymity (European proxy startup) are private.



Source: Bloomberg

The chart above shows Broadridge's forward adjusted EPS multiple over the past decade. Once tokenization concerns abate, I think shares can re-rate back towards the historical mean of this chart. Perhaps some discount is warranted for the company's increasingly dated tech stack, but if we can even get back to a market multiple, the stock is cheap.

Risks:

1. As discussed above, in tokenization case 2, it's possible brokers handle the proxy delivery for their tokenized equities clients in-house but for reasons

already discussed, I don't see it.

2. If the world fully switches overnight to a natively-issued stock token infrastructure, this could hurt Broadridge. This wouldn't happen without a long review and comment period from the SEC. More likely, a handful of issuers will experiment with natively tokenized share ownership (e.g. Galaxy Digital's own shares can be bought in natively tokenized form on Solana but uptake has been minimal), and we are likely to see a hybrid of the legacy market infrastructure and more novel models for a long time.
3. Much of Broadridge's tech stack is very dated, particularly in the GTO segment. I've heard some of their systems in that segment are written in COBOL. I'd rather own companies with cutting-edge technology, but on the flip side, this speaks to the mission-critical nature of the solutions Broadridge provides. Banks and brokers on Broadridge can't operate without it, and thus are loathe to upgrade to something more modern. Ostensibly, this is as much an opportunity for Broadridge to help their clients with their modernization efforts. However, this also raises the risk that upstarts eat away at various modules by offering something more modern and flexible. Broadridge historically has mitigated this risk both with its own internal software development and by outright acquiring competitors and product gaps, which leaves less cash flow for equity holders. I take solace in the fact that to date, the company has mostly bought companies at very low multiples of cash flow, so even their bad deals haven't been terrible (a clearing acquisition 20+ years ago aside). Nonetheless, the quality of future deals can't be reliably handicapped.
4. Broadridge is not required to but is strongly encouraged to maintain an investment grade rating due to the mission-critical nature of the services it is providing. On the one hand, loss of this rating could hurt further business growth. However, this also mitigates the risk of a large, cavalier acquisition.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

The source of the overhang on Broadridge stock ("tokenization will kill the proxy business") is somewhat unfalsifiable currently. So, it's hard to point to when we'll get the all-clear regarding the prospects for the proxy business, though I am confident we'll look back in a few years and view it as a nothing burger.

Broadridge will host an investor day on December 8th, which should help them reclaim the narrative. The company puts out three-year objectives for revenue and EPS growth at these things, so investors should get affirmation that the company's growth prospects are intact. We'll also likely get commentary on how any tokenization pilots from the SEC's recent exemption order are progressing.

Another catalyst is simply cash piling up and being returned to shareholders. The company's relatively asset-light nature lends itself to a prolific and growing cash flow stream. The company opportunistically buys back shares and has taken the share count down steadily over the past few quarters. Eventually the Overton window will move on from tokenization risk, and we'll be left with a stock trading at a HSD/LDD FCF multiple.

Messages

Subject	VIC approval process
Entry	09/20/2026 08:59 PM
Member	Kisai

I posted this for Step 1 of my VIC application on September 14th, and at the time the last write-up on the name was from 2012. I received Step 2 approval to submit my full idea on Friday, September 18th and submitted the full write-up now (two days later after receiving Step 2 approval). I now see there was a write-up done by someone else on August 4th.

I thought there was some preclusion against recently written up ideas, and hope I can still qualify for full membership despite there being a recent write-up on the same name since I couldn't have seen it my limited member access at the time (nor was it visible at the time I was granted approval to do a full write-up).

I put some thought into this and hope it wasn't for naught. Thank you for your consideration.